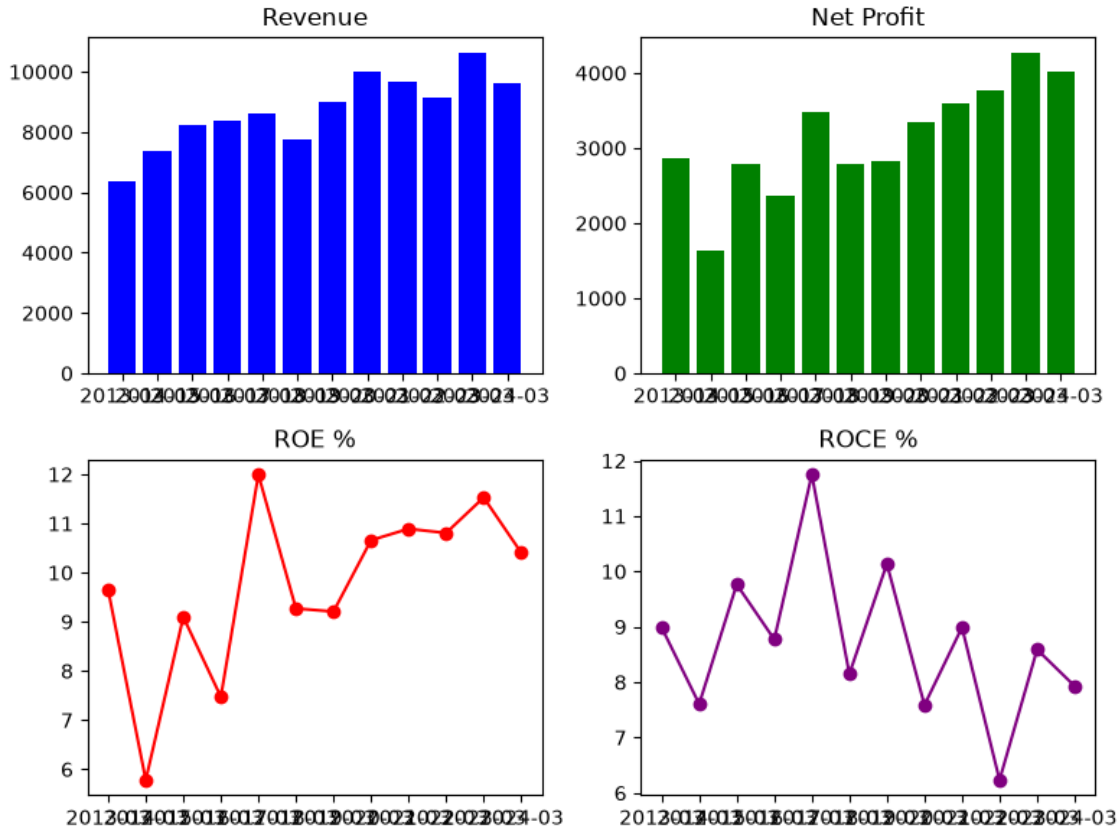
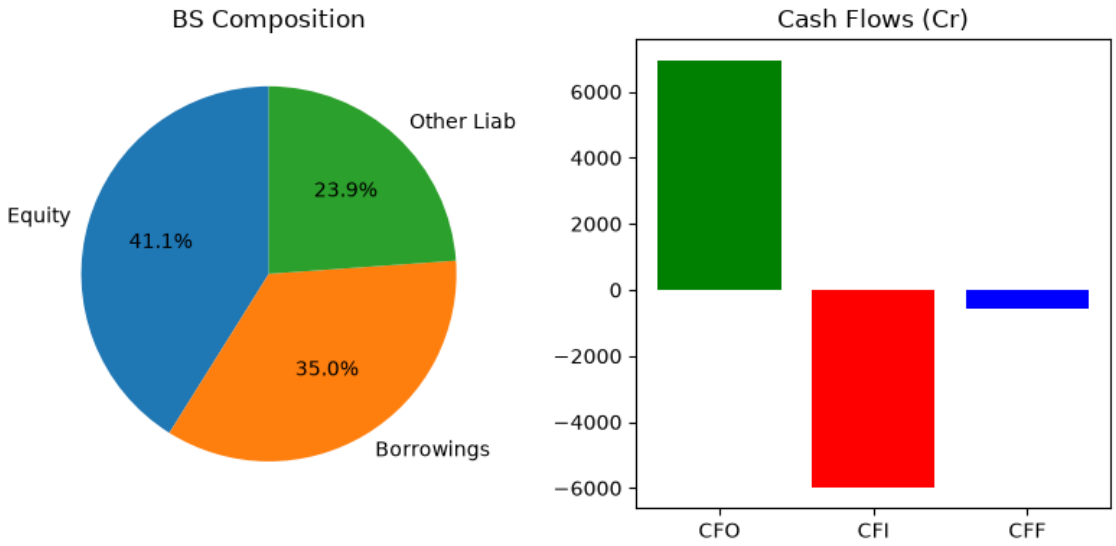
NHPC Ltd (NHPC)

ROE	10.41%	ROCE	7.93%
D/E	0.84	OPM	49.91%
FCF	970 Cr	Net Profit Margin	41.82%

Performance Trends



Balance Sheet & Cash Flows



Pros & Cons

Pros: Strong free cash flow generation over 5 years signals healthy business fundamentals, Operating profit margin above 25% indicates strong pricing power and cost discipline, Very high interest coverage ratio reflects negligible financial stress from debt servicing, Consistent dividend yield above 2% backed by positive free cash flow, Revenue growing slower than profits shows improving operating leverage and scale benefits
Cons: Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk, Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital, Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility, Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation Badge: Shareholder Returns